Focused Grade 12 Business Studies Examination: Responsible Growth

Business Studies · Grade 12 · 50 marks · 60 minutes

50-mark focused examination on selected Grade 12 CAPS topics; this is not a full Grade 12 CAPS examination.

Educator marking memo

Suggested answers and marking points. Accept equivalent correct responses appropriate to the grade.

Assessment

Read the stimulus and each question carefully.

> *Koru Foods is a small company that makes dried fruit snacks. It buys fruit from nearby farmers and sells packets to local shops. A large supermarket has offered to stock the product if Koru can supply larger, consistent orders. The owners are considering a new drying machine. They must compare its cost with expected sales, train workers to use it safely, and check that packaging gives accurate ingredient information. A community group has also asked whether Koru can donate snacks to a youth event. The owners want the business to grow while maintaining product quality and fair relationships with workers and suppliers.*

1.1 (8 marks) The Consumer Protection Act is part of the Grade 12 CAPS topic on the impact of recent legislation. Using the ingredient information in the case, explain how this law could affect Koru's label decisions, state one check the owners should make before printing, and explain one possible effect of a misleading description.

- Names the Consumer Protection Act as relevant legislation. (1 mark)
- Classifies legislation as an external macro-environment influence. (1 mark)
- Explains that a trade description must not mislead consumers. (1 mark)
- Applies that principle to ingredient information on Koru's packet label. (1 mark)
- Explains that accurate information helps customers make informed choices. (1 mark)
- Gives a concrete check, such as comparing the label with the current recipe or production record. (1 mark)
- States that current, applicable food-labelling requirements should be checked before printing. (1 mark)
- Explains one possible consequence of a misleading description, such as a misled customer, complaint, loss of trust or legal risk. (1 mark)

1.2 (9 marks) Explain two different considerations before buying the drying machine. Use case details and identify a cost, sales or production estimate to check, plus one worker training or safety issue.

- Considers purchase/operating cost. (1 mark)
- Considers whether expected sales can cover the cost. (1 mark)
- Considers production capacity or consistent orders. (1 mark)
- Considers worker training. (1 mark)
- Considers workplace safety. (1 mark)
- Uses the case details. (1 mark)
- Explains rather than lists one consideration. (1 mark)
- Explains a second distinct consideration. (1 mark)
- States that the comparison should use estimates or records rather than assumption. (1 mark)

1.3 (10 marks) Explain why accurate ingredient information and fair supplier relationships matter.

- States ingredient information should be accurate. (1 mark)
- Links accuracy to informed customer choice or safety. (1 mark)
- States that the label should be checked against applicable requirements before printing. (1 mark)
- Identifies nearby farmers as suppliers. (1 mark)
- Explains that fair supplier relationships support reliable sourcing. (1 mark)
- Links reliable sourcing to product consistency. (1 mark)
- Identifies a fair-trading practice, such as agreeing quantities, quality, price or payment terms. (1 mark)

- Shows that responsible conduct affects trust. (1 mark)
- Uses case evidence. (1 mark)
- Connects accurate information or fair supplier terms to a business outcome such as customer trust, reliable supply or consistent quality. (1 mark)

1.4 (11 marks) Evaluate the supermarket offer: give one opportunity and two risks the owners should investigate.

- Identifies access to a larger sales channel as an opportunity. (1 mark)
- Links opportunity to potential growth. (1 mark)
- Identifies risk of being unable to meet larger orders. (1 mark)
- Identifies a quality-consistency risk. (1 mark)
- Considers the machine cost or cash-flow risk. (1 mark)
- Explains one risk using case evidence. (1 mark)
- Explains a second risk distinctly. (1 mark)
- States information needed before deciding. (1 mark)
- Explains that higher sales do not establish profit until expected order value is compared with costs. (1 mark)
- Balances opportunity and risk. (1 mark)
- Gives a supported conclusion. (1 mark)

1.5 (12 marks) Recommend whether Koru should accept the offer now, delay, or negotiate conditions. Support your recommendation with evidence and two practical conditions.

- Makes a clear recommendation. (1 mark)
- Uses the larger-order requirement as evidence. (1 mark)
- Uses the need for consistent quality as evidence. (1 mark)
- Considers machine cost or capacity. (1 mark)
- Names a first practical condition. (1 mark)
- Names a second distinct condition. (1 mark)
- Includes worker training/safety or supplier readiness. (1 mark)
- Includes accurate ingredient packaging. (1 mark)
- Explains how conditions reduce risk. (1 mark)
- Considers stakeholder relationships. (1 mark)
- Names a measurable trigger for scaling up, such as a successful trial order or confirmed production capacity. (1 mark)
- Presents a logically supported conclusion. (1 mark)

Marking checks

Confirm section totals equal the stated total. Apply the grade-appropriate memo style in the Grade Profile and moderate open-ended answers before use.

Source basis: DBE CAPS Business Studies · fet_grade_10_12. See the grade receipt for the official PDF URL and SHA-256.

DRAFT — Qualified educator review required before classroom use.